



15/01/2023

EMPLOYMENT AGREEMENT

Section 1 — Position and Duties

Veracier UK Ltd hereby employs James Hartley as Managing Director. The Employee shall report to the head of the relevant department and shall perform duties as reasonably assigned.

Section 2 — Place of Work

The Employee's principal place of work shall be Innovation Park, Filton, Bristol BS34 7QN, United Kingdom. The Employee may be required to travel domestically and internationally as reasonably required by the business.

Section 3 — Hours of Work

The Employee's normal hours of work are 40 hours per week, Monday to Friday. The Employee may be required to work additional hours as the needs of the business require.

Section 4 — Remuneration

The Employee shall receive an annual gross salary, payable in equal monthly instalments. The Employee shall also be eligible to participate in the Company's bonus and incentive schemes as determined annually.

Section 5 — Probationary Period

The first six (6) months of employment shall constitute a probationary period, during which employment may be terminated by either party with two (2) weeks' written notice.

Section 6 — Holiday Entitlement

The Employee is entitled to twenty-five (25) working days' paid holiday per calendar year, in addition to public holidays.

Section 7 — Confidentiality

The Employee shall not, during or after employment, disclose any confidential information relating to the Company or the Veracier Group. This obligation survives termination of employment.

Section 8 — Intellectual Property

All inventions, designs, and works created by the Employee in the course of employment shall be the exclusive property of the Company. The Employee hereby assigns all rights therein to the Company.

Section 9 — Termination

Either party may terminate this Agreement by giving the notice required by law or contract, whichever is greater. The Company may terminate immediately for gross misconduct.

Section 10 — Post-Termination Restrictions

For a period of 12 months following the termination of employment, the Employee shall not, without the prior written consent of the Company, be engaged in any business that competes with the Company or the Veracier Group.

In consideration of this restriction, the Company shall pay a monthly amount equal to 40% of the Employee's last gross monthly salary for the duration of the restriction.

Section 11 — Governing Law

This Agreement shall be governed by the laws of England and Wales.

The Supplier shall implement and maintain environmental management practices in accordance with ISO 14001 and shall comply with REACH and RoHS regulations. Material Safety Data Sheets shall be provided upon request.

The matter has been entered in the Group's legal risk register under reference LR-2024-XXX. Oversight has been assigned to the General Counsel.

The Supplier warrants that it holds all necessary authorizations, licenses, and permits required for the performance of its obligations. The Supplier shall promptly notify the Customer of any change that may affect its ability to perform.

Packaging and labelling of all Products shall conform to the specifications set forth in the applicable Schedule. The Supplier shall be liable for any damage attributable to inadequate packaging during transport.

La medecine du travail a realise 8 450 visites au cours de l'exercice, dont 2 340 visites periodiques, 1 890 visites de reprise, et 4 220 visites a la demande. Douze (12) avis d'incapacite ont ete rendus.

In the event of regulatory changes materially affecting the terms of this Agreement, the Parties shall negotiate in good faith to amend the Agreement within a reasonable timeframe.

The Parties agree to hold quarterly performance review meetings to assess key performance indicators including quality metrics, on-time delivery rates, and corrective action effectiveness.

The statutory auditors have raised an observation regarding the nuclear decommissioning provision, recommending that the actuarial assumptions be reviewed by an independent actuary.

An examination of notification obligations to insurers has been completed. The claim notification was submitted within the contractual timeframe.

Year-end accruals include the following items: customer delay penalties (EUR 2.1M), product warranty provisions (EUR 1.2M), tax risk provisions (EUR 0.8M), and voluntary redundancy payments (EUR 0.6M).

The comparability analysis was performed using the Bureau van Dijk / TP Catalyst database, selecting comparable companies based on functions performed, assets employed, and risks assumed (FAR analysis).

The Group's net cash position stands at EUR 127 million as at 31 December, an increase of EUR 23 million compared to the prior year, primarily driven by working capital improvements.

The management fee charged by the parent company to subsidiaries represents 3% of each subsidiary's consolidated revenue, remunerating general management, strategic planning, legal support, and treasury services.

Statutory interest on any damages awarded shall accrue at the applicable rate under section 35A of the Senior Courts Act 1981.

Budget variance analysis shows a 4.2% overrun on production costs, primarily attributable to raw material price increases (titanium +18%, specialty steel +12%) during the second half of the year.

This Agreement may not be assigned, in whole or in part, by either Party without the prior written consent of the other Party. Any unauthorized assignment shall be void and of no effect.

The provision amount has been determined based on the best estimate of the expenditure required to settle the present obligation at the reporting date, taking into account the risks and uncertainties inherent in the matter.

A review of cross-indemnity provisions among Group entities has been initiated to determine which entity bears the ultimate financial burden of the litigation.

Le budget des oeuvres sociales et culturelles gere par le CSE represente 1,2% de la masse salariale, soit 2,1 millions d'euros, destines aux activites sportives et culturelles, aux cheques vacances, et a l'arbre de Noel.

Le reglement interieur a ete mis a jour pour integrer les dispositions relatives au droit a la deconnexion, a la prevention du harcelement moral et sexuel, et a l'utilisation des outils numeriques professionnels.

Le comite social et economique central (CSE-C) a ete consulte conformement aux articles L.2312-8 et suivants du Code du travail sur le projet de reorganisation de la direction industrielle et ses consequences sociales.

Any amendment to this Agreement shall be in writing and duly executed by authorized representatives of both Parties. No oral modification or waiver shall be binding upon either Party.

La clause de non-concurrence prevoit une indemnite compensatrice mensuelle egale a 40% du dernier salaire mensuel brut, versee pendant toute la duree de la clause. La societe se reserve la possibilite de renoncer a la clause dans un delai d'un mois suivant la notification de la rupture du contrat.

The Legal Department has identified a contagion risk, as the facts underlying the claim may be replicated at other production sites within the Group.

The provision movement schedule shows a net charge of EUR 3.2 million for the year, primarily driven by litigation provisions (+EUR 1.8M) and restructuring provisions (+EUR 1.4M).

Le taux de frequence des accidents du travail s'etablit a 5,8 pour un million d'heures travaillees, en amelioration par rapport a l'objectif fixe a 7,0. Le taux de gravite est de 0,18 jour d'arret pour mille heures travaillees.

L'index d'egalite professionnelle femmes-hommes s'etablit a 82 points sur 100 pour l'exercice, en progression de 3 points par rapport a l'exercice precedent. L'objectif du groupe est d'atteindre 90 points dans les deux prochaines annees.

In the event of late delivery, the Customer shall be entitled to liquidated damages of 0.5% of the relevant Purchase Order value per week of delay, capped at 10% of the total Purchase Order value.

All notices under this Agreement shall be in writing and delivered by registered mail, internationally recognized courier service, or email with read receipt confirmation, to the addresses set forth in the preamble.

The net debt to EBITDA ratio stands at 1.8x, well within the 3.0x covenant threshold under the EUR 250 million syndicated credit facility.

The provision has been measured in accordance with IAS 37, based on the best estimate of the expenditure required to settle the obligation at the reporting date, discounted at a risk-free rate of 3.2%.

The Supplier shall maintain ISO 9001 certification (and AS9100 or NADCAP where applicable) throughout the Term. Loss of certification shall constitute a material breach entitling the Customer to suspend Purchase Orders.

The Group's operating margin stands at 8.7% for the year, down 0.8 percentage points from the prior year, driven by the integration of Precis-Tec and associated restructuring costs.

La politique de mobilité interne du groupe encourage les transferts entre entités et sites de production. Un portail de mobilité interne a été déployé, proposant l'ensemble des postes ouverts au sein du groupe avant toute publication externe.

L'accord sur l'égalité professionnelle fixe des objectifs chiffrés en matière de recrutement (atteindre 35% de femmes dans les filières techniques d'ici 3 ans), de rémunération (réduire l'écart salarial inexpliqué à moins de 2%), et de promotion (parité dans les comités de direction d'ici 5 ans).

The Country-by-Country Report has been prepared in accordance with OECD BEPS Action 13 guidelines and filed with the relevant tax authority within the statutory deadline.

The deferred tax provision has been calculated on temporary differences between IFRS carrying amounts and tax bases, at the applicable tax rate of 25.83% for French entities and 30.175% for the German entity.

The Customer reserves the right to audit the Supplier's facilities, records, and quality management systems upon fifteen (15) business days' prior written notice, to verify compliance with this Agreement.

The cost plus method has been applied to contract manufacturing activities, with an 8% markup on direct and indirect production costs.

The failure of either Party to enforce any provision of this Agreement shall not constitute a waiver of such provision or of the right to enforce it at any time thereafter.

It is recommended that no public statement be made regarding this matter, given the confidentiality obligations under the mediation clause and the potential for reputational harm.

The tax treatment of the litigation provision has been reviewed by the Finance Department. The provision is tax-deductible subject to compliance with HMRC guidelines.

Le Comité Social et Économique a été informé de la mise en place d'un dispositif de signalement interne (whistleblowing) conforme aux exigences de la loi Sapin II et de la directive européenne 2019/1937 sur la protection des lanceurs d'alerte.

L'accord d'intéressement prévoit le versement d'une prime calculée sur la base du résultat opérationnel courant consolidé du groupe, avec un déclenchement à partir d'un taux de marge opérationnelle de 6% et un plafonnement à 10% de la masse salariale.

External legal counsel has provided a qualified opinion on the prospects of the defence, estimating the probability of an adverse outcome at between 40% and 60%.

L'absentéisme s'établit à 4,2% pour l'exercice, en hausse de 0,3 point par rapport à l'exercice précédent. Les principales causes identifiées sont les troubles musculo-squelettiques (38%) et les arrêts pour maladie ordinaire (45%).

La direction a proposé une augmentation générale de 2,5% des salaires de base, applicable au 1er janvier, pour l'ensemble des salariés non-cadres. Les cadres bénéficient d'une enveloppe d'augmentations individuelles de 3,0%.

The capital expenditure budget for the current year is EUR 18.5 million, of which EUR 12.3M is allocated to production capacity and EUR 6.2M to R&D activities.

The Audit Committee has reviewed the principal accounting estimates and management judgements and concluded that the methods applied were appropriate and consistent with prior periods.

The Supplier shall maintain a traceability system enabling identification of raw materials, manufacturing operations, and quality inspections for each delivered Product. Records shall be retained for a minimum of ten (10) years.

A conflict-of-interest check has been performed to ensure that the appointed external counsel does not represent any adverse party or have any relationship that could compromise the objectivity of their advice.

Le plan de formation annuel prévoit un budget de 2,8 millions d'euros, soit 1,8% de la masse salariale. Les priorités portent sur la montée en compétences technique (35%), la sécurité et la sûreté (25%), le management (20%) et le digital (20%).

Les négociations annuelles obligatoires (NAO) au titre de l'exercice ont porté sur les salaires effectifs, la durée et l'organisation du temps de travail, l'épargne salariale, et l'égalité professionnelle entre les femmes et les hommes.

Intercompany transactions are remunerated on an arm's length basis in accordance with the OECD Transfer Pricing Guidelines and section 482 of the US Internal Revenue Code.

The impairment test of goodwill was performed in accordance with IAS 36, based on discounted cash flow projections using a WACC of 9.5%. No impairment loss was recognised.

Where subcontracting is authorized by the Customer, the Supplier shall remain solely responsible for the performance of all its contractual obligations. The Supplier shall ensure that subcontractors are bound by confidentiality and quality requirements no less stringent than those in this Agreement.

La politique de rémunération variable des cadres dirigeants prévoit une part variable pouvant atteindre 30% du salaire annuel brut, articulée autour d'objectifs quantitatifs (60%) et qualitatifs (40%), valides par le comité des rémunérations.

The matter will be monitored by the Legal Department in coordination with external counsel. A progress update will be presented to the Audit Committee at its next quarterly meeting.

The Legal Department recommends appointment of a mediator accredited by the Centre for Effective Dispute Resolution (CEDR) to attempt settlement before the commencement of substantive proceedings.

All pre-existing intellectual property shall remain the sole property of its owner. Bespoke developments created by the Supplier under this Agreement and funded by the Customer shall vest in the Customer upon creation.

Bristol, le 15/01/2023
Managing Director

James Hartley